

economic phenomenon, Graham helped people regain their financial footing and proceed with a profitable course of action.

Ben Graham earned a bachelor of science degree from Columbia University in 1914, at the age of 20. He was fluent in Greek and Latin and had a scholarly interest in mathematics and philosophy. However, despite his no-business education, he began a career on Wall Street. His first job was as a messenger at the brokerage firm of Newburger, Henderson & Loeb, posting bond and stock prices on a blackboard for \$12 a week. From messenger, he rose to writing research reports and soon was awarded a partnership in the firm. By 1919, at age 25, he was earning an annual salary of \$600,000—almost \$8 million in 2012 dollars.

In 1926, Graham formed an investment partnership with Jerome Newman. It was this partnership that hired Buffett some 30 years later. Graham-Newman survived the 1929 crash, the Great Depression, World War II, and the Korean War, before it was dissolved in 1956.

Few people know that Graham was financially ruined by the 1929 crash. For the second time in his life (the first being when his father died, leaving the family financially unprotected), Graham set about to rebuild his fortune. He found inspiration at his alma mater, where he had just started teaching night courses in finance. The haven of academia allowed Graham the opportunity for reflection and reevaluation. With the counsel of David Dodd, also a professor at Columbia, Graham produced what became the classic treatise on conservative investing.

Between them, Graham and Dodd had over 15 years of investment experience. It took them four years to complete *Security Analysis*. When the book first appeared, in 1934, Louis Rich wrote in the *New York Times*: “It is a full-bodied, mature, meticulous and wholly meritorious outgrowth of scholarly probing and practical sagacity. If this influence should ever exert itself, it will come by causing the mind of the investor to dwell upon securities rather than upon the market.”²

In the first edition, Graham and Dodd dedicated significant attention to corporate abuses. They had plenty of material. Before the Securities Act of 1933 and the Securities Exchange Act of 1934, corporate information was totally inadequate and often misleading. Most companies refused to divulge sales information, and the valuation of assets was frequently suspect.